

EQUITY RESEARCH QUICK TAKE



Capital
Markets

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HSBC Holdings plc

Q1'26 results - Middle East disrupts strong momentum

LSE: HSBA | GBp 1,359.40 | Sector Perform | Price Target GBp 1,200

Sentiment: Neutral

Our view

HSBC published its Q1'26 results this morning. Adj PBT was in line with consensus, driven by fee and other income offset by costs and impairments. Adj pre-provision profits were 1% above consensus. The focus on today's call will likely be a downgrade to the bank's cost of risk guidance, upside to banking NII from higher rates and fee momentum. There will be a presentation for investors and analysts at 7:45am UK today.

Results vs consensus

- **Strategic transactions:** HSBC announced the disposal of Indonesia retail banking to OCBC with up to \$0.4bn gain on disposal when the transaction completes in H1'27. In relation to the completed privatisation of Hang Seng Bank management reiterated ambition of generating total benefits of US\$0.9bn (US\$0.2bn revenues; \$0.3bn costs; \$0.4bn further upside). The bank continues to expect to recognise \$0.6bn of associated restructuring charges.
- **Shareholders' returns:** Quarterly DPS of \$0.10 (cons DPS \$0.10). HSBC has not announced a new buyback programme today, in line with guidance following the previously announced privatisation of Hang Seng Bank's minorities. HSBC had previously stated that "a decision to recommence buybacks will be subject to our normal considerations and process on a quarterly basis".
- **Capital:** CET1 phased-in ratio of 14.0% (cons 14.0%) down 90bps q/q. Hang Seng accounted for a 110bps impact (prev -110bps). Other notable movements include RWA growth driven by corporate lending and -12bps impact from decrease in the FV of hold-to-collect-and-sell debt instruments.
- **TBVps:** Down 2% q/q to \$9.46 (cons \$9.42). Notable movements include -39 cents for Hang Seng.
- **Banking NII:** In line with consensus expectations. NIM was 160bps (down 4bps q/q, VA cons NIM c.164bps) and AIEA were up 2% q/q in US\$ (VA cons up 1% q/q). The bank's structural hedge notional increased to \$604bn with weighted average life of 3.1yrs (Q4'25: \$593bn; weighted average life c.3.1yrs). HSBC banking NII sensitivity to a 100bps parallel shift in rates is unchanged at \$3.4bn (prev \$3.4bn as of Q4'25).
- **Fees:** 6% above consensus on an underlying basis and up 6% y/y on constant currency underlying basis with the following underlying trends (in constant currency): wholesale transaction banking up 2% y/y, wealth up 15% y/y and Investment Banking and Debt & Equity markets down 20% y/y.
- **Expenses:** 4% miss vs consensus on an underlying basis. The adj cost-to-income ratio was 44.7% (cons 43.8%). The bank reported \$178m of notable items in costs. The bank has taken actions to realise \$1.4bn of annualised cost savings since 2025 and will complete the remaining \$0.1bn cost saves by H1'26 (previous guidance c.\$1.5bn by YE26).
- **Cost of risk:** An impairment charge of \$1,301m (cons \$1,194m charge). Notable items include a \$400m fraud-related financial sponsor exposure in UK CIB and a \$300m increase in allowance related to the Middle East conflict. Group Q1'26 CoR was 52bps (cons c.48bps).
- **Funding and liquidity:** Total deposit balances decreased by \$5bn (flat q/q) in US\$ (up \$9bn q/q or up 1% q/q in constant currency), driven by lower deposits across the UK, HK, and IWPB divisions, partially offset by growth in the CIB division.
- **Divisional trends (in constant currency):**
 - **Hong Kong:** adj revenue 2% up q/q and 3% up y/y. Customer loans 1% up q/q and customer deposits flat q/q.
 - **UK:** adj revenue 1% down q/q and 5% up y/y. Customer loans 1% up q/q and customer deposits flat q/q.
 - **Corporate & Institutional Banking:** adj revenue 10% up q/q and 2% up y/y. Customer loans 4% up and customer deposits 2% up q/q.

All values in USD unless otherwise noted. Priced as of prior trading day's market close, EST (unless otherwise noted).

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- **International Wealth & Premier Banking:** adj revenue 8% up q/q and 6% up y/y. Customer loans 1% up q/q and customer deposits flat q/q.

Exhibit 1 - Guidance changes

Guidance - FY26	Old	New	Cons
Banking NII	At least \$45bn	c.\$46bn	45.8
Fee and other income	c.\$0.6bn net negative impact	Unchanged	(0.6)
Revenue (ex notable items)	Rising to 5% y/y growth by 2028	Unchanged	4.0%
Costs (target basis)	c.1% growth y/y	Unchanged	1.7%
Costs (target basis)	c.\$34.1bn	c.\$34.0bn	(34.0)
Restructuring charges ex Hang Seng	c.\$0.8bn	Unchanged	
Restructuring charges - Hang Seng	c.\$0.6bn (material notable item) 2026-28	Unchanged	
COR	c.40bps	c.45bps	(42)
ROTE (ex notable items)	17% or better each year	Unchanged	17.5%
CET1 Ratio	14-14.5% target range	Unchanged	14.2%

Source: Company reports, company-compiled consensus pre-Q1'26, RBC Capital Markets.



Exhibit 2 - Results vs consensus

P&L (Reported, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Consensus	
						Q1 26	Q1 v Cons
Banking NII	10,599	11,722	11,253	(4%)	6%	11,276	(0%)
Fee and other income	7,050	4,642	7,371	59%	5%	7,209	2%
Total revenue	17,649	16,364	18,624	14%	6%	18,485	1%
Change in ECL and other impairments	(876)	(901)	(1,301)	44%	49%	(1,194)	9%
Total operating expenses	(8,102)	(9,330)	(8,721)	(7%)	8%	(8,426)	4%
Profit in associates and JVs net of impairment	813	669	774	16%	(5%)	723	7%
Profit/(loss) before tax	9,484	6,802	9,376	38%	(1%)	9,588	(2%)
Taxation	(1,914)	(1,615)	(1,982)	23%	4%	(2,030)	(2%)
Profit/(loss) after tax	7,570	5,187	7,394	43%	(2%)	7,558	(2%)
NCI & AT1	(638)	(468)	(456)	(3%)	(29%)	(493)	(8%)
Profit/(loss) attribut. to ord. shareholders	6,932	4,719	6,938	47%	0%	7,065	(2%)

P&L (Notable items, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Q1 26	Q1 v Cons
Banking NII	0	0	0	n/a	n/a	0	n/a
Fee and other income	(91)	(1,359)	(501)	(63%)	451%	(197)	154%
Total revenue	(91)	(1,359)	(501)	(63%)	451%	(197)	154%
Change in ECL and other impairments	0	0	0	n/a	n/a	0	n/a
Total operating expenses	(191)	(425)	(178)	(58%)	(7%)	(247)	(28%)
Profit in associates and JVs net of impairment	0	0	0	n/a	n/a	0	n/a
Profit/(loss) before tax	(282)	(1,784)	(679)	(62%)	141%	(444)	53%

P&L (Adjusted, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Q1 26	Q1 v Cons
Banking NII	10,599	11,722	11,253	(4%)	6%	11,276	(0%)
Fee and other income	7,141	6,001	7,872	31%	10%	7,406	6%
Total revenue	17,740	17,723	19,125	8%	8%	18,682	2%
Change in ECL and other impairments	(876)	(901)	(1,301)	44%	49%	(1,194)	9%
Total operating expenses	(7,911)	(8,905)	(8,543)	(4%)	8%	(8,179)	4%
Profit in associates and JVs net of impairment	813	669	774	16%	(5%)	723	7%
Profit/(loss) before tax	9,766	8,586	10,055	17%	3%	10,032	0%

TBVps (US\$)	9.08	9.64	9.46	(2%)	4%	9.42	0%
CET1 Ratio	14.7%	14.9%	14.0%	-90bps	-71bps	14.0%	0bps
Total DPS (US\$)	0.10	0.45	0.10	(78%)	0%	0.10	0%
Loans & advances to customers (net, US\$bn)	945	988	1,002	1%	6%	995	1%
NIM	1.59%	1.64%	1.60%	-4bps	1bps	1.64%	-4bps
Average Interest Earning Assets (US\$bn)	2,124	2,221	2,261	2%	6%	2,245	1%
Cost-to-income ratio (Adjusted)	44.6%	50.2%	44.7%	-558bps	8bps	43.8%	89bps
Cost of risk	0.37%	0.36%	0.52%	16bps	15bps	0.48%	4bps

Source: Company Reports, Company Consensus, Visible Alpha, RBC Capital Markets estimates



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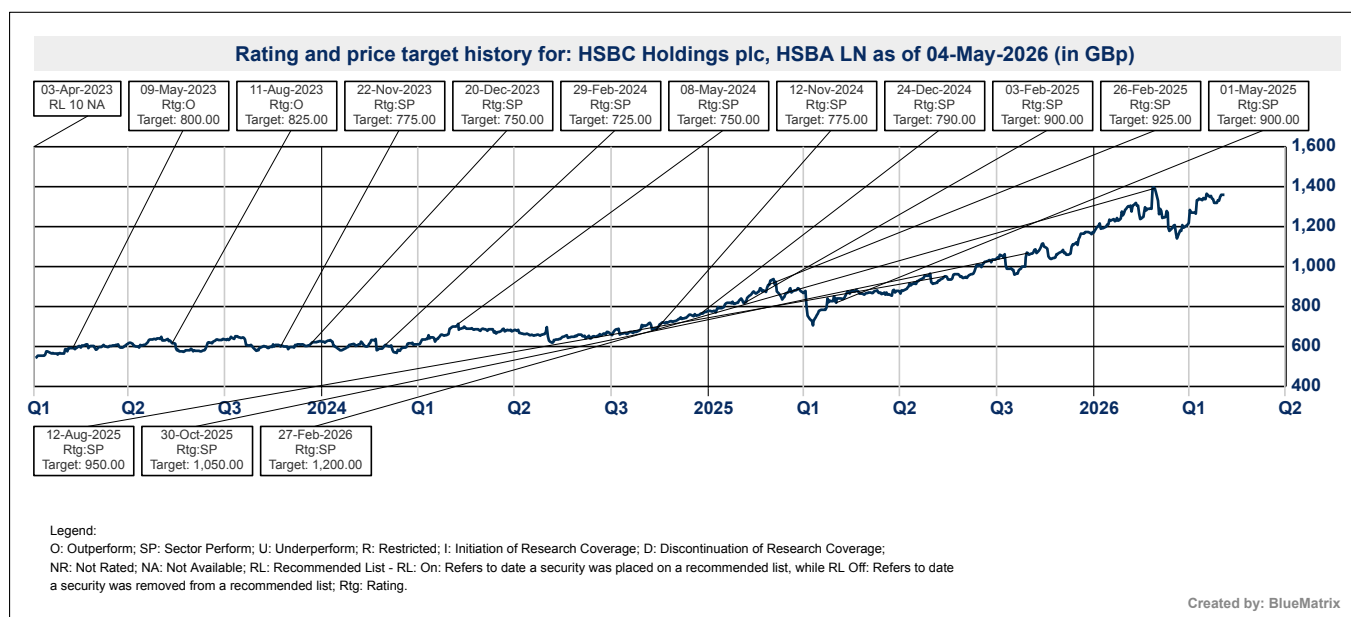
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HSBC Holdings plc

Valuation

We value HSBC using a SOTP model by division based on our 2027 estimates discounted back one year to 2026E at a cost of equity of 11.8%, and using a return on allocated capital for each division. Our 1,200p price target supports our Sector Perform rating.

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- US tariffs.
- Big tickets conduct and litigation items.
- The Chinese government targeting banks as part of its drive for common prosperity.
- Lower-than-expected avg. GDP growth, particularly in Asia.
- Madoff litigation.

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